

ECO102: Introduction to Macroeconomics

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SECTION: 05

LECTURE 10

CHAPTER 27: AGGREGATE DEMAND

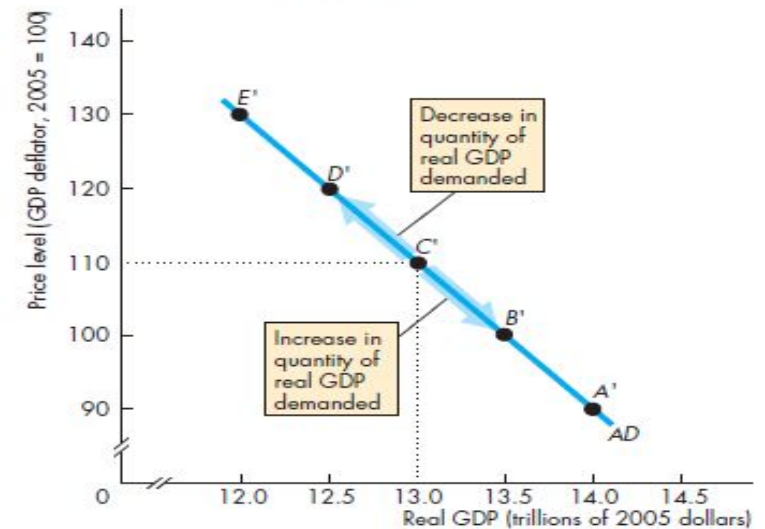
Aggregate Demand

- ▶ The quantity of real GDP demanded (Y) is the sum of real consumption expenditure (C), investment (I), government expenditure (G), and exports (X) minus imports (M).
- ▶ $Y = C + I + G + X - M$
- ▶ These buying plans depend on many factors. Some of the main ones are
 1. The price level
 2. Expectations
 3. Fiscal policy and monetary policy
 4. The world economy

The Aggregate Demand Curve

- ▶ Other things remaining the same, the higher the price level, the smaller is the quantity of real GDP demanded. This relationship between the quantity of real GDP demanded and the price level is called **aggregate demand**.
- ▶ Aggregate demand is described by an *aggregate demand schedule* and an *aggregate demand curve*.
- ▶ The aggregate demand curve slopes downward for two reasons:
 - Wealth effect
 - Substitution effects

FIGURE 27.4 Aggregate Demand



	Price level (GDP deflator)	Real GDP demanded (trillions of 2005 dollars)
A'	90	14.0
B'	100	13.5
C'	110	13.0
D'	120	12.5
E'	130	12.0

Wealth and Substitution Effect

- ▶ **Wealth Effect** When the price level rises but other things remain the same, *real* wealth decreases.
 - ▶ If the price level rises, real wealth decreases. People then try to restore their wealth. To do so, they must increase saving and, equivalently, decrease current consumption. Such a decrease in consumption is a decrease in aggregate demand.
- ▶ **Substitution Effects** When the price level rises and other things remain the same, interest rates rise.
 - ▶ A rise in the price level decreases the real value of the money in people's pockets and bank accounts. With a smaller amount of real money around, banks and other lenders can get a higher interest rate on loans.
 - ▶ Faced with a higher interest rate, people and businesses delay plans to buy new capital and consumer durable goods and cut back on spending.
 - ▶ This substitution effect involves changing the timing of purchases of capital and consumer durable goods and is called an *intertemporal* substitution effect—a substitution across time. Saving increases to increase future consumption.

Changes in the Quantity of Real GDP Demanded VS. Aggregate Demand

Changes in the Quantity of Real GDP Demanded

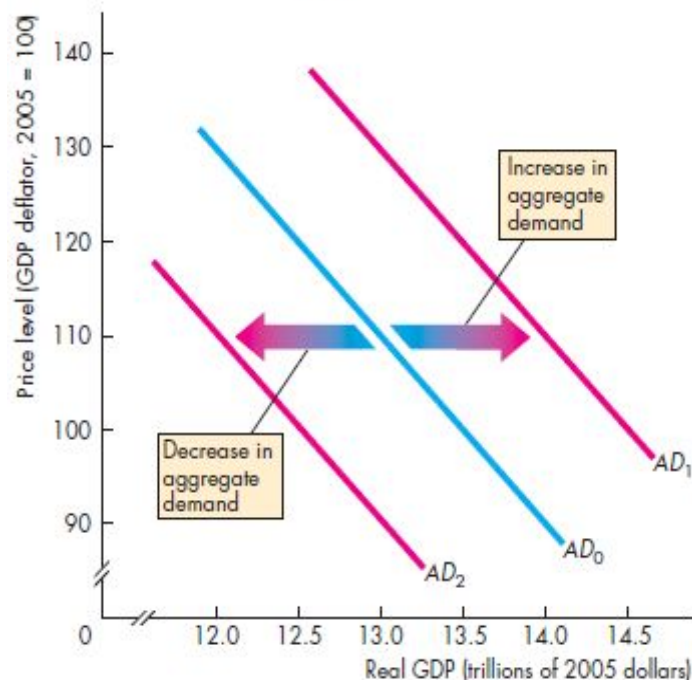
- ▶ When the price level rises and other things remain the same, the quantity of real GDP demanded decreases—a movement up along the *AD* curve.
- ▶ When the price level falls and other things remain the same, the quantity of real GDP demanded increases—a movement down along the *AD* curve.

Changes in Aggregate Demand

- ▶ A change in any factor that influences buying plans other than the price level brings a change in aggregate demand. The main factors are
 - Expectations
 - Fiscal policy and monetary policy
 - The world economy

Shifts in the AD Curve

FIGURE 27.5 Changes in Aggregate Demand



Aggregate demand

Decreases if:

- Expected future income, inflation, or profit decreases
- Fiscal policy decreases government expenditure, increases taxes, or decreases transfer payments
- Monetary policy decreases the quantity of money and increases interest rates
- The exchange rate increases or foreign income decreases

Increases if:

- Expected future income, inflation, or profit increases
- Fiscal policy increases government expenditure, decreases taxes, or increases transfer payments
- Monetary policy increases the quantity of money and decreases interest rates
- The exchange rate decreases or foreign income increases